How operations and production work

In the US, practices concerning corporate governance, responsibility, fiduciary obligations, and social responsibility are broadly governed by the Sarbanes-Oxley Act, passed by Congress in 2002.

Also known as the Public Company Accounting Reform and Investor Protection Act, the Sarbanes-Oxley Act of 2002 (SOX) was passed by Congress in the wake of several high-profile corporate accounting scandals—most notably at Tyco International, WorldCom, Enron, and Enron's auditor, Arthur Andersen.

SOX established the Public Company Accounting Oversight Board (PCAOB), which regulates auditing of corporate financial statements. It prohibits auditing firms from operating consulting businesses and stipulates that a company may not engage an auditor if certain members of senior management worked for that company within the prior year.

SOX requires Chief Executive Officers and Chief Financial Officers to sign and attest to the veracity of their company's financial statements. Board audit committees must have at least one independent director.

In addition to government oversight, the auditing profession has stepped up self-regulation in the wake of the financial scandals. The American Institute of Certified Public Accountants (AICPA) has in recent years issued several key Statements on Auditing Standards (SAS). SAS 70 sets audit standards for the services industry, SAS 85 requires auditors to obtain written representations from management, and SAS 99 sets out steps to be taken to detect material misstatement and accounting fraud.

In Canada

Businesses in Canada are governed by the Competition Act. The Act prohibits misleading advertising and marketing practices, and requires truthful statements concerning warranties, guarantees, and prices. It enables wronged parties to sue defendants for fraud in civil court, usually at the provincial level.

Standards and quality control

In the US, numerous independent standards organizations play a role in ensuring adherence to standards and quality control in various industries, including manufacturing, services, and health care. Many of these standards are promulgated by the International Organization for Standardization (ISO), a nongovernmental organization based in Geneva, Switzerland. ISO 9000 sets out eight principles for achieving quality control and operational consistency. ISO 9001 establishes formal processes that companies must adhere to, including the establishment of formal quality-control committees, to achieve the designation. ISO 3100 stipulates procedures for controlling and managing risk, while ISO 22,000 concerns food safety.

There are other, privately sponsored quality-control initiatives in which many large US companies participate. Beyond ISO, one of the most widely adhered to is the Six Sigma program, which was developed by Motorola and widely deployed by General Electric under former CEO Jack Welch. Six Sigma seeks to build processes aimed at removing defects from the manufacturing process.

Health, safety, and the environment

Companies operating in the US are expected to operate in a socially responsible manner that attempts to minimize environmental impact while protecting worker health and safety. The federal Environmental Protection Agency (EPA) has broad authority to interpret, apply, and enforce federal laws concerning environmental impact. The EPA regulates greenhouse gas emissions, estuarial runoff, and wetlands protection, among other things.